

ing three different numbers together. The first number is the accrual rate, the second number is the number of years you have been part of the pension plan, and the third and final number is your final salary, or the average of your salary during the last few years of employment. Hence, the term, “defined benefit.” Here is the key point: *You know exactly what your income benefit will be as you get closer to the golden years.* This knowledge provides certainty, tranquility, and predictability. This arrangement was the norm for most large North American companies and their employees for more than 50 years. In fact, the earliest defined benefit pension plans have more than a 100-year history.

A defined contribution (DC) plan is the exact opposite of a DB plan and is a broad term that includes self-directed accounts such as 401(a), 401(k), and 403(b). There is no guaranteed benefit, or for that matter, any guarantee at all regarding pension income. As the name implies, only the regular periodic contributions are known and determined in advance. The future benefit that you will receive upon entering retirement is completely unknown. If the stock market, or the particular mutual fund in which your money is allocated experiences a bad month, year, or decade around the time of your retirement, then your nest egg will be much smaller. In general, the responsibility, risk, and yes, the possible rewards, are in the hands of the employee as opposed to employer.

Once again, DC plans contain no formulas or income guarantee. In fact, they don't really focus on retirement income at all. They are salary-deferred, tax-sheltered savings plans, where you and your employer contribute a periodic amount. Your final *retirement nest egg* will depend on how much you (and/or the company) contribute to the plan, how your investments perform on the way to retirement, and what you do with the money when you retire. A 401(k) is a number, not a pension. The amount of money in your 401(k) plan, at the time you retire, is unknown and unpredictable in advance. In language of probability theory, it is a random number. Indeed, you might experience a bear market just before your retirement date, and the nest egg might lose 20% to 30% of its value, as most plans did during the bear market of 2001 to 2003. The 401(k) plan is, therefore, not a pension. You, the retiree, have to figure out how to convert this into some sort